

Investment Philosophy

Overview

Buying, holding, and maintaining a portfolio of compounding machines with a disciplined and long term approach. Never speculating, gambling, or investing out of fear, FOMO, or hype.

Three main focuses are finding exceedingly high quality companies in stock selection, maintaining the right temperament, and exercising prudent portfolio management.

► Stock Selection

1. Monopoly
2. Pricing Power
3. Operating Leverage
4. Organic Growth
5. Capital Light
6. Smart Capital Allocation

► Temperament

1. Disciplined
2. Unemotional
3. Patient
4. Long Term Focused

► Portfolio Management

1. Smart Position Sizing
2. Specific Buy Criteria
3. Specific Sell Criteria
4. Intrinsic Value Estimates

Compounding Machines

Attractive Attributes



Monopoly

- Large market share in concentrated industry
- Entrenched distribution, brand name, install base, subscriber base
- High barriers to entry



Pricing Power

- Demonstrated history of raising prices above the rate of inflation
- Upside value in product or service for future price increases
- Can raise prices with little push back from customers



Operating Leverage

- Each incremental dollar of revenue increases margins
- Long runway of large TAM to scale into



Organic Growth

- Does not rely on acquisition for growth
- Grows by price and volume increases
- Builds products internally



Capital Light

- Low amounts of fixed costs
- Low R&D and CAPEX relative to revenue



Smart Capital Allocation

- Spends excess cash on buybacks
- Spends excess cash on dividends
- Spends excess cash on tuck-in acquisitions

Unattractive Attributes



Risky Reinvestment

- High amounts of CAPEX or R&D with unpredictable ROI
- Moonshot bets or vanity projects with high chance of failure



Undisciplined Use Of Cash Flow

- Issues too much compensation to employees & executives
- Fancy expensive offices and extravagant work parties
- Investing into executive pet projects
- Unwilling to return excess cash to shareholders



Unpredictable Cash Flows

- Economically sensitive cash flows
- Boom and bust industry
- Discretionary products
- Large durable goods that life span can be extended during difficult times



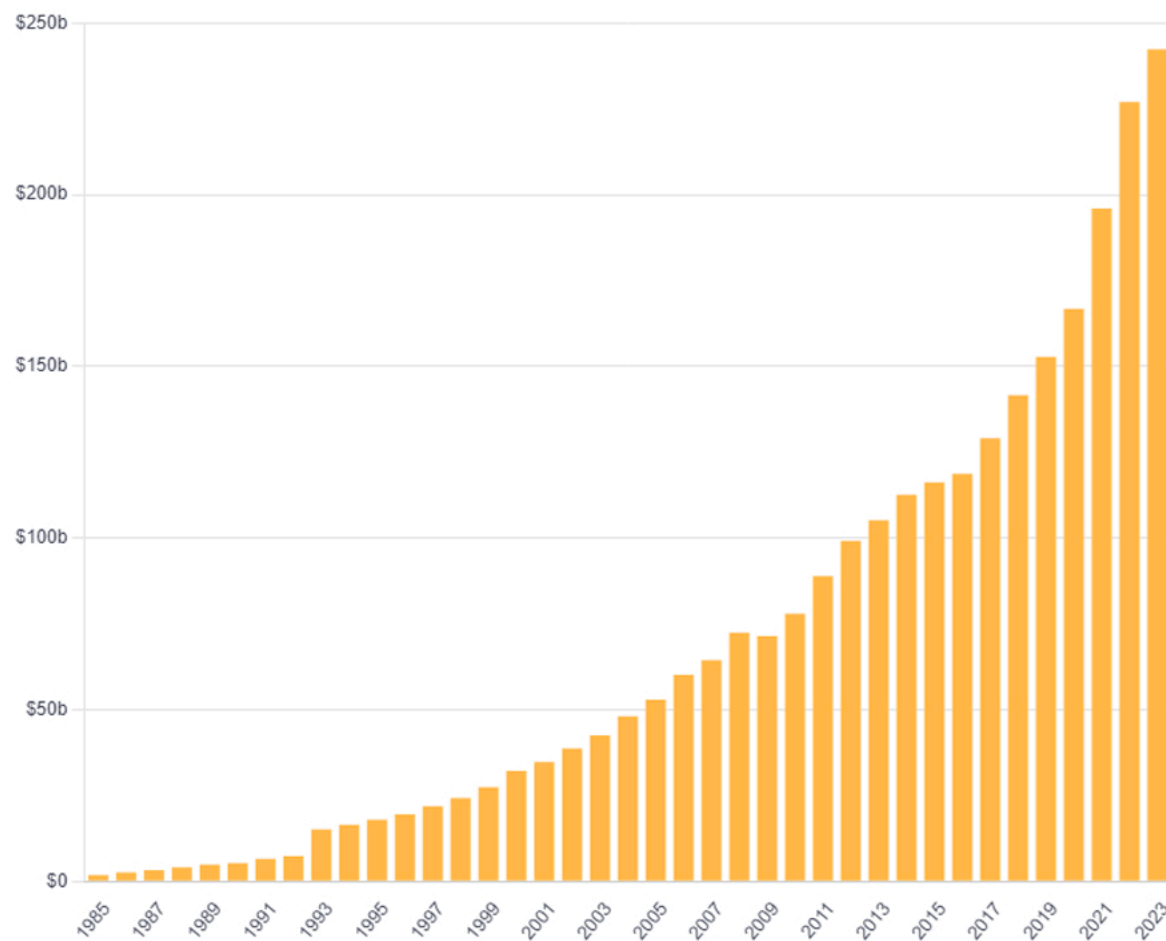
Dual Class Share Structure

- Owner has disproportionately high voting rights to share ownership
- Owner is not beholden to majority share holders

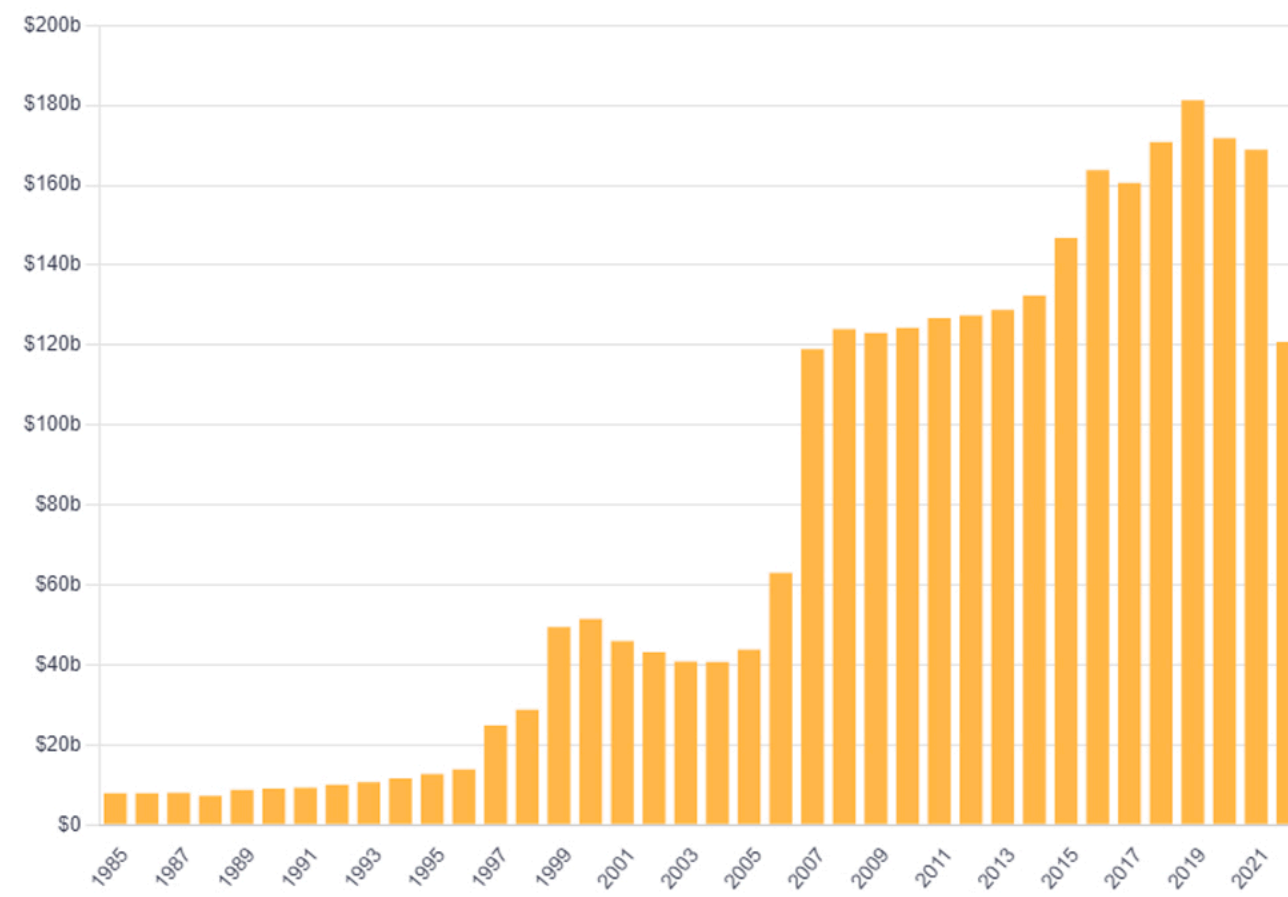
Compounding Machine Example

Revenue

 **Costco**



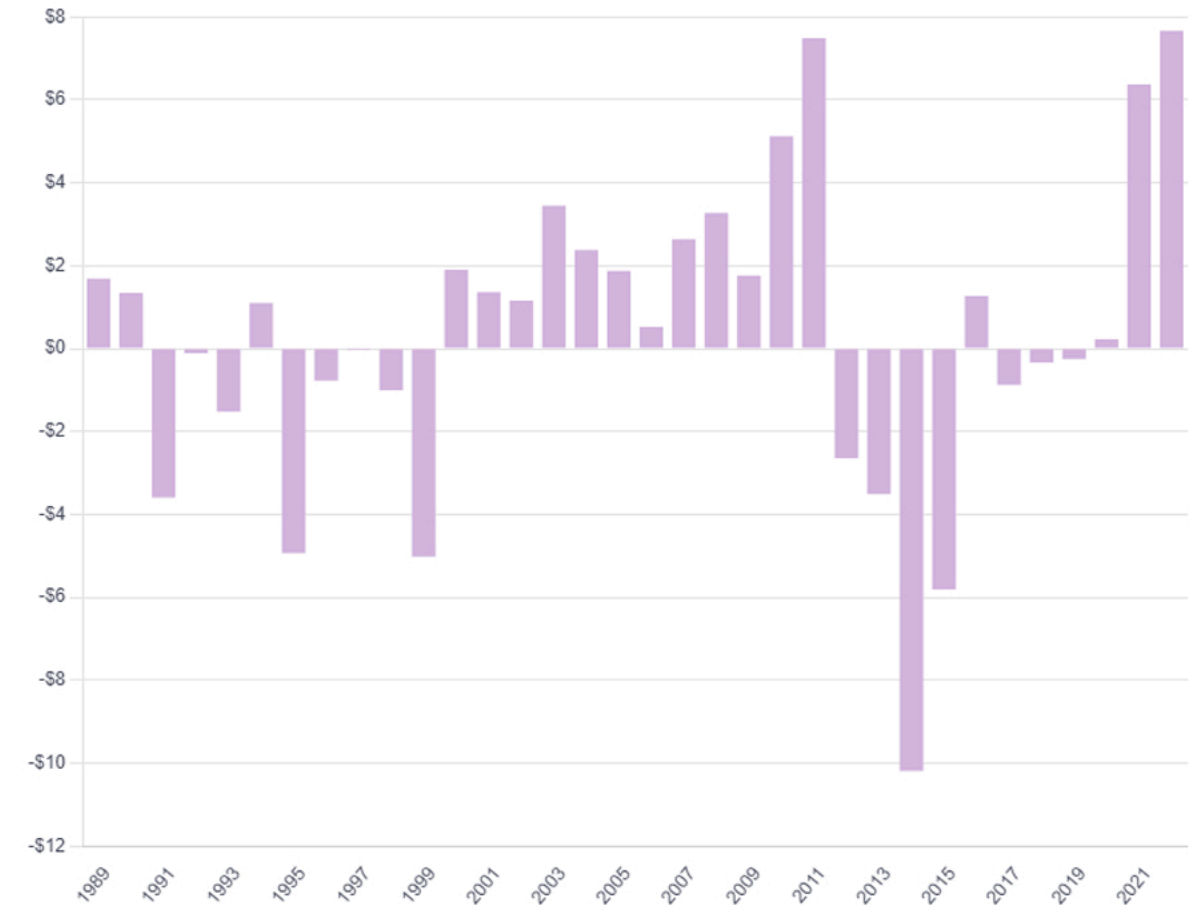
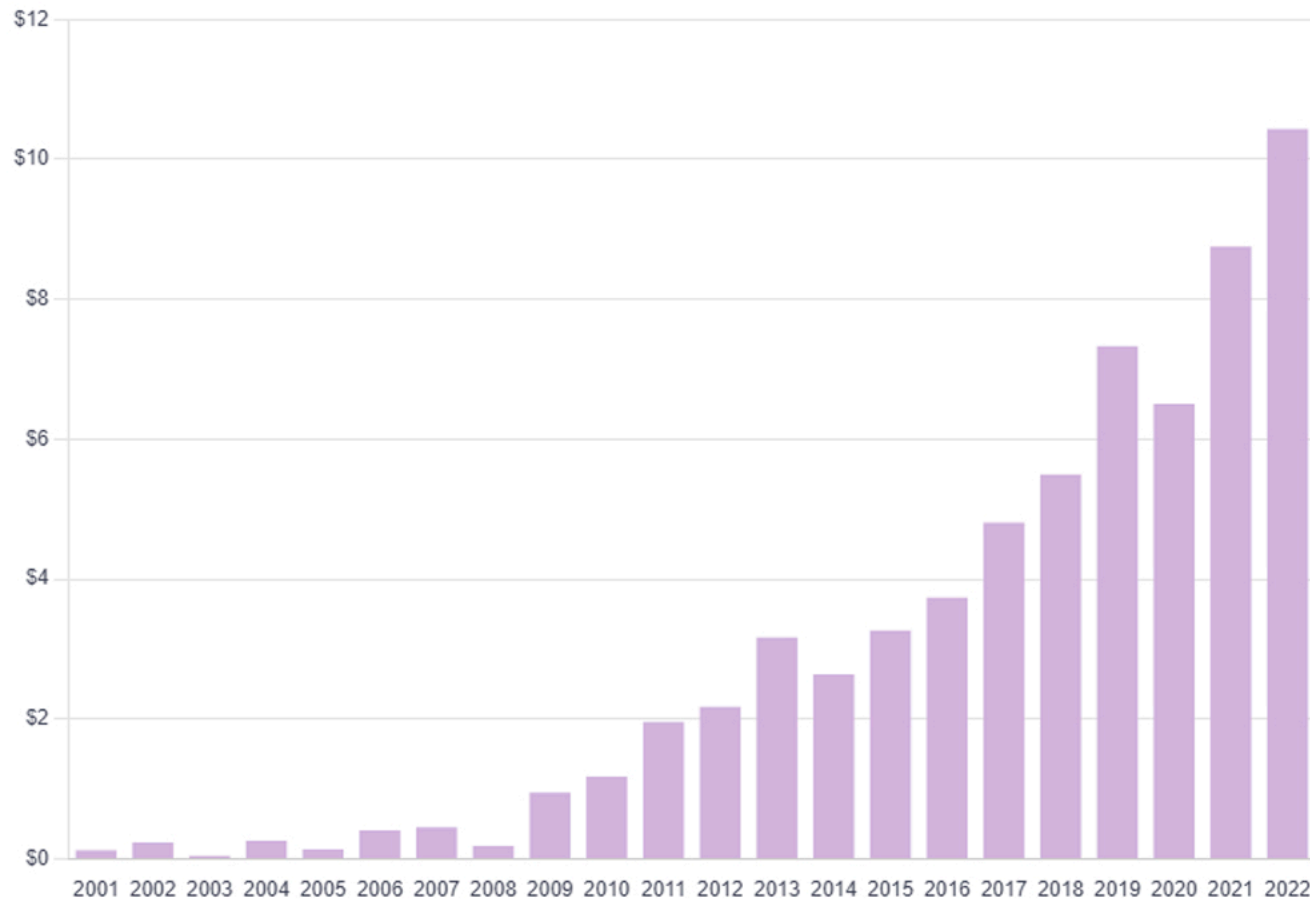
 **AT&T**



Costco is a compounding machine that's shown consistent revenue growth primarily through price increases, increase in new customers, and opening new locations. AT&T is not a compounding machine. It's growth has been inconsistent and in large part due to major acquisitions outside of core business.

Compounding Machine Example

Free Cash Flow Per Share



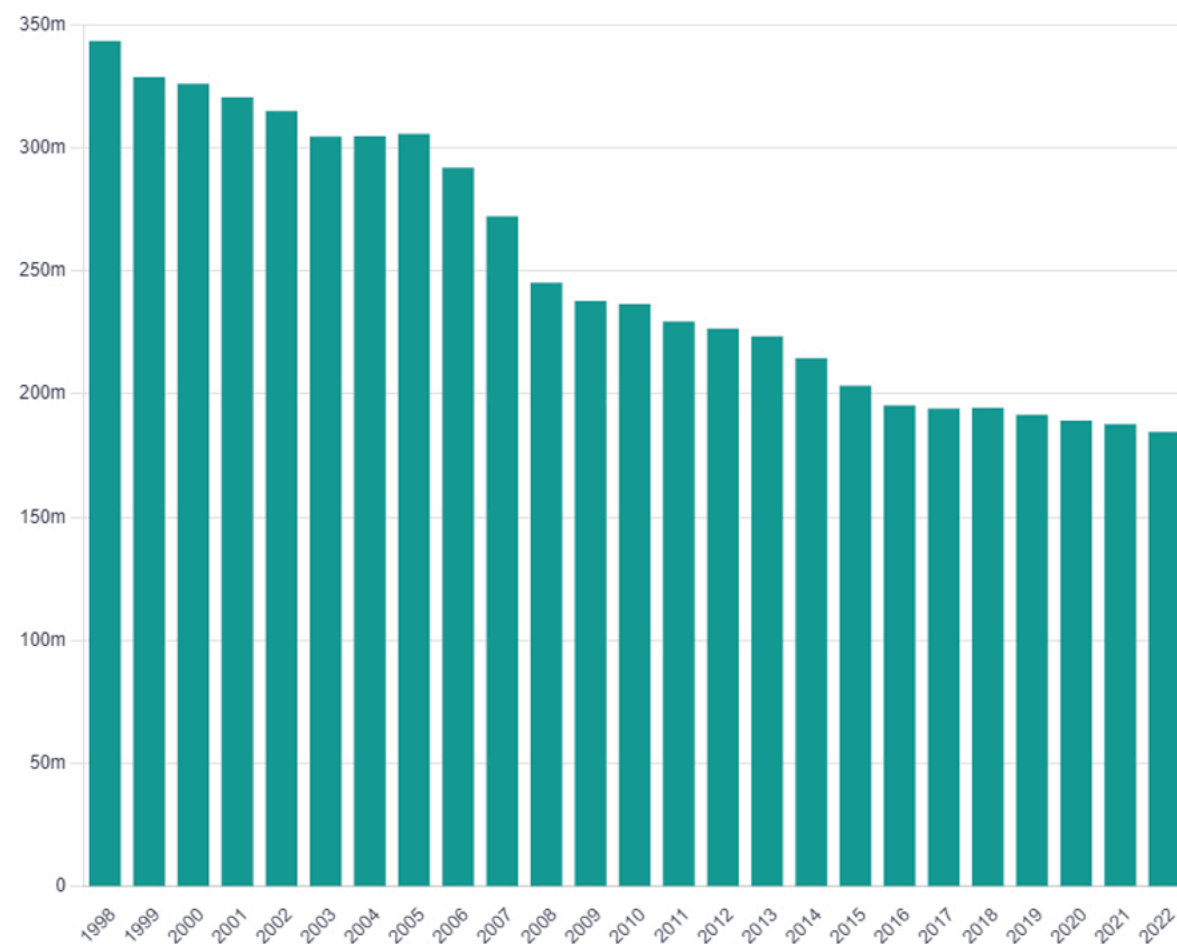
Compounding machines grow free cash flow per share over time on a steady and predictable basis. Other companies like the oil producer APA Corporation have unpredictable and low growth rates of free cash flow per share.

Compounding Machine Example

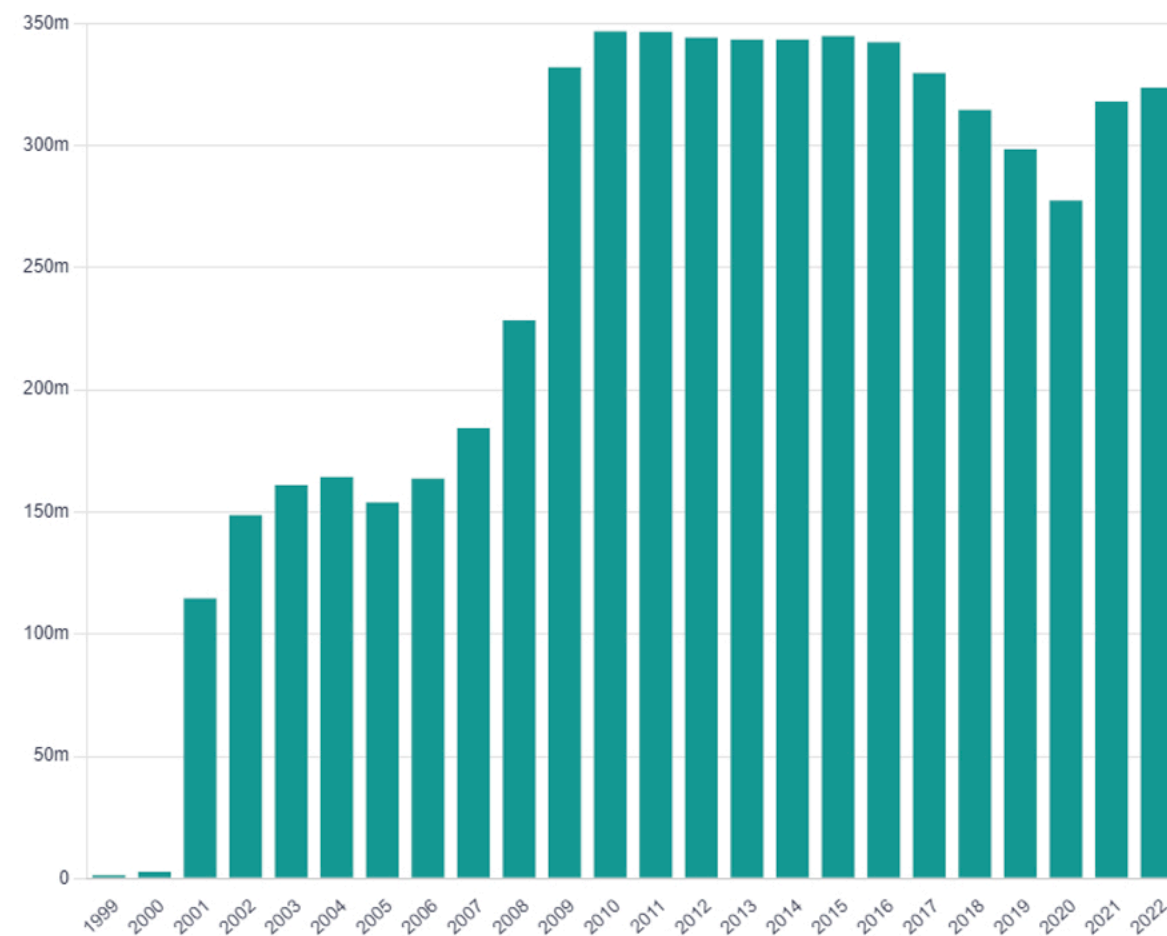
Shares Outstanding



Moody's



JetBlue



Compounding machines buy back shares with excess cash which increases free cash flow per share and reduces the total shares outstanding. Other companies dilute shareholders by issuing more shares to buy new businesses and pay stock based comp.

Temperament

Temperament is the personality traits that determine how someone will react given certain circumstances. Some traits are conducive to successful investing while other traits are detrimental. Controlling temperament is key to long term investing success.

Good Temperament

- ↑ Does not get excited when the market goes up
- ↑ Does not get sad or anxious when the market goes down
- ↑ Patient and okay with being bored
- ↑ Does not need to fit in with the pack
- ↑ No emotional attachment to stocks
- ↑ Systematic and calculated decision making during distress

Bad Temperament

- ↓ Enjoys Gambling
- ↓ Excited when the market goes up
- ↓ Anxious and bearish when the market goes down
- ↓ Buys out of fear of missing out and greed
- ↓ Sells out of fear of future losses during decline
- ↓ Takes comfort in following the crowd

Intrinsic Value

Estimating Intrinsic Value

Intrinsic value is determined by ranking companies by free cash flow growth and predictability. Then discounting them by determining the appropriate free cash flow yield they deserve to trade at. Intrinsic value is an estimate that is ultimately subjective. The more accurate and well researched the assumptions the more accurate the intrinsic value estimate will be.

Drivers Of Intrinsic Value

✓ **Organic Revenue Growth**

✓ **Free Cash Flow Per Share Growth**

✓ **Predictability Improving**

Portfolio Management

Successful outperformance of the benchmark is most likely to occur with a portfolio concentrated into the highest quality companies. Buying losers can usually be avoided by following a disciplined buying and selling strategy.

Buying

- ✓ Buy only compounding machines
- ✓ Buy when trading below intrinsic value
- ✗ Do not sacrifice quality for valuation
- ✗ Do not add to companies becoming less predictable

Selling

- ✓ Sell when a mistake was made on original analysis
- ✓ Sell when the company no longer meets quality standards
- ✓ Sell when there is a far more attractive opportunity